

No. 20-12897

**THE UNITED STATES COURT OF APPEALS
FOR THE ELEVENTH CIRCUIT**

DEEPGULF, INC. AND TOKE OIL AND GAS, S.A.

Plaintiff/Appellant,

v.

MARC MOSZKOWSKI,

Defendant /Appellee

On Appeal from the United States District Court for the
Northern District of Florida, Pensacola Division
Case No. 3:18-cv-01466-TKW-MJF

BRIEF OF APPELLANT

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Certificate of Interested Persons and Corporate Disclosure Statement

(Pursuant to Fed.R.App.P. 26.1 & 28 & 11th Cir. R. 26.1-1 through 1-3 & 28-1)

1. **Ball, Jr., Braden K., 40 Palafox Place, Suite 300, Pensacola, FL 32502, Attorney for Appellants.**
2. **Boller, Mary Allie E., 150 Government Street, Suite 1001, Mobile, AL 36602, Former Attorney for Appellee.**
3. **Boller, Thomas R., 150 Government Street, Suite 1001, Mobile, AL 36602, Former Attorney for Appellee.**
4. **DeepGulf, Inc., 431 East Zaragoza Street, Unit B, Pensacola, FL 32502, Appellant. DeepGulf, Inc. does not have any subsidiaries, conglomerates, affiliates, parent corporations or publicly held corporations that own 10% or more of its stock.**
5. **Frank, Michael, 1 North Palafox, Pensacola, FL 32502, Magistrate Judge, U.S. District Court for the Northern District of Florida.**
6. **Litvak Beasley Wilson & Ball, LLP, 40 Palafox Place, Suite 300, Pensacola, FL 32502, Law Firm for Appellant's Counsel.**
7. **Moszkowski, Marc, Chalet De Bulvedere, Le Croy 73350, Champagny-EN, Vanoise, FF, Appellee.**
8. **Thomas R. Boller, P.C., 150 Government Street, Suite 1001, Mobile, AL 36602, Former Law Firm for Appellee's Counsel.**
9. **Toke Oil and Gas, S.A., 431 East Zaragoza Street, Unit B, Pensacola, FL 32502, Appellant.**
10. **Wetherell, T. Kent, District Court Judge, 1 North Palafox, Pensacola, FL 32502, U.S. District Court for the Northern District of Florida.**

Statement Regarding Oral Argument

Appellants requests oral argument pursuant to 11th Cir. R. 28-1(c). The issues presented on appeal involve issues that are better presented if the parties are allowed to augment their positions through oral argument before the Court.

Guide to Abbreviations

The Appellant, DeepGulf, Inc. shall be referred to as “DeepGulf” or “Appellant.” The Appellant, Toke Oil and Gas, S.A. shall be referred to as “Toke.” The Appellee, Marc Moszkowski, shall be referred to as “Moszkowski” or “Appellee.”

References to the record, including pleadings, transcripts, and exhibits, shall be referred to by the district court docket number, followed by the applicable document page number or sometimes in cases where a pleading has discrete numbered paragraphs by the District Court Docket Number, followed by the applicable paragraph number. Example [Doc.#, P.#] or [Doc.#, ¶#]

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STATEMENT OF JURISDICTION

Appellants initiated this action in the Circuit Court in and for Escambia County, Florida. Appellee removed this case to the Federal District Court for the Northern District of Florida.

DeepGulf is incorporated in Florida and has its principal place of business in Florida. [Doc. 1, P.22]. Toke is a company domiciled in Timor Leste. [Doc. 1, P.22] Appellee is a resident of France. [Doc. 1, P.1-2]. As such, there is complete diversity between the parties pursuant to 28 U.S.C. §1332. Further, the amount at controversy in this case exceeds the jurisdictional threshold of the federal district courts set out in 28 U.S.C. §1332(a)(1). [Doc.1, P.1-2, Doc.1, P.31-32].

This Court has jurisdiction of appeals from all final decisions of the district courts of the United States pursuant to 28 U.S.C. §1291. This is an appeal from certain pre-trial Orders issued by the lower court, specifically an Order denying Motion to Amend [Doc. 130], and an Order on Motions for Summary Judgment granting and denying certain claims made by the Appellants and Appellee [Doc.150]. The Order on Motions for Summary Judgment left one Count to be tried, which trial was held on June 17, 2020. Subsequent to said trial, a Corrected Final Judgment was entered on July 2, 2020 [Doc. 168].

Appellants timely filed its Notice of Appeal directed to both orders and Corrected Final Judgment on July 31, 2020 [Doc. 169]. The two orders appealed from collectively dispose of all the parties' claims.

STATEMENT OF THE ISSUES

- I. The District Court Erred in Granting Summary Judgment in Favor of Appellee for Count II.
- II. The District Court Erred in Granting Summary Judgment in Favor of Appellee for Counts III through VI.
- III. The District Court Erred in denying Appellants' Motion to Amend.

STATEMENT OF THE CASE

I. Nature of the Case and Proceedings

Appellants initially filed the case against Appellee in the Circuit Court in and for Escambia County, Florida, as Case Number 2018 CA 000543. Appellee removed the case to the Northern District of Florida as Case Number 3:18-cv-01466-TKW-MJF. Appellee proceeded initially pro se and was later represented by attorneys Thomas Boller and Mary Allie Boller.

The primary contention in the lower court by Appellants was that Appellee was working for DeepGulf, Inc. in the small country of East Timor also called Timor Leste, which is located on a small island north of Australia. While working in East Timor and subject to a Non-Competition, Non-Disclosure, and Developments Agreement with DeepGulf, Appellee formed a company called Toke Oil and Gas, S.A. purportedly to be a wholly owned subsidiary of DeepGulf, Inc. and to utilize DeepGulf, Inc.'s technology in East Timor.

Instead of remitting all the monies earned off of projects in East Timor to DeepGulf, Inc., Appellee diverted funds to Appellee and other owners in Toke Oil and Gas, S.A. In total Appellee was paid \$345,000 by Toke and approximately \$959,000 was paid to the other owners of Toke.

The projects which were the subject of this lawsuit occurred from 2009-2012. Appellee asserted that the claims made by Appellants were barred by the statute of

limitations; however, Appellants asserted that the statute of limitations did not begin to accrue because Appellee fraudulently concealed the acts that supported its claims in Counts III through VI. After discovery, Appellants and Appellee each filed cross Motions for Summary Judgment. On January 27, 2020, the District Court entered its Order on Motions for Summary Judgment [Doc. 150]. The Order disposed of all claims, except one which was tried later by the District Court.

II. Statement of the Facts

Rustin Howard, the now (and all pertinent times in the litigation) Chairman of the Board of Directors of DeepGulf, Inc. and Appellee first met in 2004 and discussed the formation of a company to utilize technology known as Ultra-deepwater J-Flex Pipelay system. The company that was eventually formed was called DeepGulf, Inc.

Since the formation of DeepGulf, Inc. and at all times pertinent to the litigation, Marc M. Moszkowski has been a director of Deep Gulf, Inc.

On September 15, 2005, Marc M. Moszkowski and DeepGulf, Inc. entered into a NONCOMPETITION, NONDISCLOSURE, AND DEVELOPMENTS AGREEMENT. [Doc. 140, ¶ 6]

In various board conversation in the presence of Rustin Howard and Bill Lott, Marc M. Moszkowski repeatedly expressed his intent to leave the company and establish a new company that would then compete with DeepGulf, Inc. to complete its projects using DeepGulf, Inc. technology. [Doc. 140, ¶ 7]

In various board conversation in the presence of Rustin Howard and Bill Lott, Marc M. Moszkowski repeatedly expressed his intent to leave the company, and work for a competitor company to bring the projects to fruition not for the benefit of DeepGulf, Inc. [Doc. 140, ¶ 8]

In various board conversation in the presence of Rustin Howard and Bill Lott, Marc M. Moszkowski repeatedly expressed his intent to leave the company, establish a new company that would then compete with DeepGulf, Inc. but would reward some DeepGulf, Inc. shareholders and exclude other DeepGulf, Inc. shareholders. [Doc. 140, ¶ 9]

On or about September 10, 2007, DeepGulf, Inc., Inc. received an inquiry from a potential customer about DeepGulf, Inc.'s Patented Ultra-deepwater J-Flex Pipelay system and the possibility of using it to lay pipe between Sunrise gas field and East Timor. [Doc. 140, ¶ 10]

On or around October 15, 2007, Marc M. Moszkowski went to East Timor to investigate the opportunity, in his capacity as Director and Officer of DeepGulf, Inc. [Doc. 140, ¶ 13]

On February 2, 2008, at a DeepGulf, Inc. Board Meeting, Marc M. Moszkowski gave information regarding the potential for pipeline operation in East Timor following his recent time spent researching the project. He informed the Board it would not be possible to do business in East Timor as a US corporation. Based upon these representations, the Board discussed solutions including the creation of a DeepGulf, Inc. subsidiary company in East Timor, then passed a resolution to create said subsidiary. [Doc. 140, ¶ 14]

In East Timor, Marc M. Moszkowski established Toke Oil and Gas, S.A. and made himself an owner rather than DeepGulf, Inc. [Doc. 140, ¶ 15]

Based on documents provided and represented by Marc M. Moszkowski to be the Founding Documents of Toke Oil and Gas, S.A., the earliest of them dated December 8, 2007 the three Founders of Toke Oil and Gas, S.A. are VoGue Lda. Company, Hali Group S.A. Company, and Marc M. Moszkowski an individual. [Doc. 140, ¶ 16]

Based on documents provided and represented by Marc M. Moszkowski to be the Founding Documents of Toke Oil and Gas, S.A., Marc M. Moszkowski, an individual, received 30,000 shares or 33% of Toke Oil and Gas, S.A. [Doc. 140, ¶ 17]

Based on documents provided and represented by Marc M. Moszkowski to be the Founding Documents of Toke Oil and Gas, S.A., the initial meeting of Shareholders was dated January 2008 wherein Directors were appointed and Marc M. Moszkowski was appointed President-Director General. [Doc. 140, ¶ 18]

Marc M. Moszkowski led the Board of Directors of DeepGulf, Inc. to believe that he established and was holding Toke Oil and Gas, S.A. in his name for the benefit of DeepGulf, Inc., and that it would have been reckless to hold that interest in DeepGulf, Inc.'s name. [Doc. 140, ¶ 19]

While Marc M. Moszkowski was in East Timor, Rustin Howard attempted to travel to East Timor; however, Marc M. Moszkowski told Rustin Howard that it was too dangerous for Rustin Howard to go to East Timor. No DeepGulf, Inc. employee or Director, other than Marc M. Moszkowski ever traveled to East Timor. [Doc. 140, ¶ 20]

Toke Oil and Gas, S.A. completed three contracts with total revenue of \$14.9 million US dollars. The last project was completed in May, 2012. During those projects, Toke Oil and Gas, S.A. distributed \$1.304 million purportedly as “Director Salaries”. At the same time, Marc M. Moszkowski was also receiving his full time DeepGulf, Inc. salary. While Marc M. Moszkowski was the President Director General, Toke Oil & Gas, S.A. paid the funds referred to in this Paragraph without the knowledge and approval of the DeepGulf, Inc. Board. [Doc. 140, ¶ 21]

DeepGulf, Inc. paid Marc M. Moszkowski his contracted full-time salary of \$132,000.00 in W-2 wages in 2008, \$132,000.00 in 2009, \$132,000.00 in 2010, \$132,000.00 in 2011 and \$110,000.00 in 2012. [Doc. 140, ¶ 22]

Toke Oil & Gas, S.A. paid \$345,000.00 to Marc M. Moszkowski. DeepGulf, Inc. had no knowledge of these payments until late 2017. [Doc. 140, ¶ 25]

When Marc M. Moszkowski was working in East Timor, Rustin Howard asked Marc M. Moszkowski about payments by Toke Oil and Gas, S.A. to DeepGulf, Inc. for tax and accounting purposes. Marc M. Moszkowski responded

that Toke Oil and Gas, S.A. paid DeepGulf, Inc. for his services as Project Manager. [Doc. 145, ¶ 5]

During the time that Marc M. Moszkowski was working in East Timor, Rustin Howard believed that Marc M. Moszkowski was negotiating contracts on behalf of DeepGulf, Inc. Rustin Howard believed that DeepGulf was involved in operations regarding the projects in East Timor, as DeepGulf employed and paid Marc M. Moszkowski to be its Project Manager. Also, during that time, Marc M. Moszkowski requested reimbursement from DeepGulf, Inc. for his travel expenses. [Doc. 145, ¶ 6]

Marc M. Moszkowski's last payment of salary was from DeepGulf, Inc. was in November, 2012. [Doc. 145, ¶ 7]

In October, 2017, William Lott, Jr. informed Rustin Howard that Marc M. Moszkowski had told him that Toke Oil and Gas, S.A. had paid Marc M. Moszkowski \$345,000. This is the first that Rustin Howard was aware of these payments. [Doc. 145, ¶ 9]

That email that Rustin Howard received three weeks later from Marc M. Moszkowski described above led Rustin Howard to believe that Toke Oil and Gas, S.A. had paid DeepGulf, Inc. so that DeepGulf, Inc. could pay Marc M. Moszkowski for his services as Project Manager in East Timor. [Doc. 145, ¶ 12]

Appellants claims were presented in the Complaint, filed on April 3, 2018 which remained operative until Summary Judgment and contained nine (9) causes of action: Injunctive Relief-Intellectual Property and Developments and Business Opportunity (Count I); Breach of Non-Competition Agreement (Count II); Civil Theft (Count III); Civil Theft (Count IV); Conversion (Count V); Conversion (Count VI); Fraudulent Misrepresentation (Count VII); Declaratory Relief (Count VIII); and Accounting (Count IX). [Doc. 1, P. 22-36]

As stated *supra*, the District Court disposed of the majority of the Counts in the Complaint and the Counterclaim filed by Appellee in its Order on Motions for Summary Judgment [Doc. 150]. In its Order it ruled that Judgment should be entered against Appellants on DeepGulf's claims in Count II based upon the language in the Non-Compete Agreement which required Appellee to turn over Company Property to DeepGulf "[i]mmediately upon the termination of [Appellee's] Business Relationship with [DeepGulf]." [Doc. 150, P. 8]

Moreover, in its Order the District Court ruled that Summary Judgment should be entered in favor of Appellee and against DeepGulf regarding Counts III through VI because those claims had been brought after the statute of limitations and were, therefore time barred. Furthermore, the District Court held that "under Florida law,

the doctrine of delayed discovery does not apply to claims for civil theft and conversion.” [Doc. 150, P. 9-10]

III. Standard of Review

This Court reviews *de novo* the district court’s grant of summary judgment to determine if genuine issues of material fact are involved and to determine whether the movant was entitled to judgment as a matter of law and equity. Capone v. Aetna Life Ins. Co., 92 F.3d 1189, 1194 (11th Cir. 2010).

A district court’s interpretation of the statute of limitations is reviewed *de novo* also. United State Paper v. Wise Alloys, 807 F.3d 1258 (11th Cir. 2015).

For the arguments relating to the denial of Appellants Motion to Amend, the District Court stated as a basis that the amendment would be futile [Doc. 130, P. 3]. Denial of a Motion to Amend based upon the Motion being futile are reviewed *de novo*. Marmo v. Tyson Fresh Meats, Inc., 457 F.3d 748 (8th Cir. 2006); Miller v. Board of Education of the Albuquerque Public Schools, 565 F.3d 1232 (10th Cir. 2009).

SUMMARY OF THE ARGUMENT

The district court erred by granting summary judgment in favor of Appellee as to Count II of Appellants' Complaint. Appellant's right to possession of "Company Property" is not conditioned upon Appellee no longer having a "Business Relationship" with DeepGulf. There are other provisions of the agreement and Section 607.08411(3)(a), Florida Statutes which entitle Appellant to the relief requested in Count II of the Appellant's Complaint.

The District Court erred by granting summary judgment in favor of Appellee as to Counts III through VI of Appellants' Complaint. The District Court failed to properly analyze the Motions for Summary Judgment filed in this case through the lens of the doctrine of fraudulent concealment. Instead, the District Court applied the delayed discovery doctrine to the legal claims made in this case. Had the Court correctly applied the fraudulent concealment doctrine to the statute of limitations defense raised by Appellee in this case, Appellants claims in Counts III through VI would have survived the Motion for Summary Judgment filed in the District Court.

The District Court erred when it denied Appellants' Motion to Amend [Doc. 130]. Appellants' amended claims would not have been barred by the Statute of Limitations and, therefore, would not have been futile.

LAW AND ARGUMENT

I. The District Court Erred in Granting Summary Judgment in Favor of Appellee for Count II.

In disposing of Count II of Appellants' Complaint, the District Court ruled that "To the extent this count is based upon Defendant's refusal to turn over the usernames and passwords for DeepGulf's website, it fails because even if these items are DeepGulf's property (as they likely are), Defendant has no obligation to turn them over to DeepGulf at this time because, as a director, he still has a Business Relationship with the company." [Doc. 150, P. 8]. The Court admitted that the usernames and passwords were likely DeepGulf's property; however, the Order focused on the language in the Noncompetition, Nondisclosure and Developments Agreement which provides that Appellee had an obligation to deliver "Company Property" which was defined in the non-compete agreement, "[i]mmediately upon the termination of my Business Relationship with the Company..." [Doc. 150, P. 8].

However, the District Court failed to properly consider that the Appellee further agreed in the Noncompetition, Nondisclosure, and Developments Agreement that Appellee entered into with Appellant, DeepGulf, Inc. that "Company Property" was defined therein as follows:

"all notes, memoranda, reports, lists, records, drawings, sketches, specifications, software programs, software code, data, computers, cellular telephones, pagers, credit and / or calling cards, keys, access cards, documentation or other material of any nature and in any form, whether written, printed, electronic or in digital formal or otherwise,

relating to any matter within the scope of the business of the Company or concerning any of its dealings or affairs and any other Company property in my possession, custody or control.”

In the same paragraph the Appellee agrees that “I acknowledge and agree that all Company Property shall be and remain the sole and exclusive property of the Company.” There is no qualifier in that language in that provision which restricts the sole and exclusive ownership of the Company Property by DeepGulf, Inc. to be conditioned upon a time when Appellee no longer had a business relationship with DeepGulf.

In addition, Section 607.08411(3)(a), Florida Statutes states that “[t]he duty of an officer includes the obligation to [i]nform the superior officer to whom, or the board of directors or the committee to which, the officer reports of information about the affairs of the corporation known to the officer, within the scope of the officer’s functions, and known or as should be known to the officer to be material to such superior officer, board or committee...” A corporate officer has a duty to inform a corporation of transactions that they conduct or are aware of that is occurring on behalf of the corporation. United Homes v. Moss, 154 So.2d 351 (Fla. 2d DCA 1963). Failing to so inform a corporation is a breach of an officer’s fiduciary duty to the corporation. Rehabilitation Advisors, Inc. v. Floyd, 601 So.2d 1286 (Fla. 5th DCA 1992).

In the present case, Appellant DeepGulf's claim was not that it could exclude Appellee from accessing the Company Property, but that Appellee had to share information, including Company Property as defined in the Agreement between the parties such as usernames and password for DeepGulf's website. Appellee also had the statutory duty to inform the Board based upon Section 607.08411(3)(a), Florida Statutes.

Therefore, because Appellee had agreed the Company Property was the sole and exclusive property of DeepGulf and Appellee had a statutory duty to inform the Board of Directors of DeepGulf, this Court is obligated to reverse the District Court's Order of Summary Judgment as it relates to Count II of Appellants' Complaint. Appellants ask that Summary Judgment be reversed, denied in Appellee's favor and be granted in its favor or, in the alternative, that this Court give instructions to the District Court to hold further proceedings to decide this issue.

II. The District Court Erred in Granting Summary Judgment in Favor of Appellee for Counts III through VI.

Counts III through VI are based upon claims for conversion and civil theft. The District Court misapprehended Appellants' reply to Appellee's Affirmative Defense of the statute of limitations as to these counts. The Fifth Reply to Affirmative Defenses asserted by Appellants [Doc. 120, ¶ 5] reads as follows:

5. Plaintiffs assert the defense of fraudulent concealment as to Defendant's Third Affirmative Defense. Defendant fraudulently withheld any facts with which Plaintiff DeepGulf, Inc. could have

reasonably discovered that (sic) Plaintiff was being paid by Toke Oil and Gas, S.A.

However, instead of conducting an analysis of fraudulent concealment and how that would have acted as an avoidance to the affirmative defense of the statute of limitations, the District Court granted Summary Judgment in favor of Appellee while stating that the “delayed discovery rule does not apply to claims for civil theft. *See Davis v. Monahan*, 832 So.2d 708 (Fla. 2002).”

In *Raie v. Cheminova, Inc.*, 336 F.3d 1278 (11th Cir. 2003), this court made it clear that the delayed discovery defense is different from the fraudulent concealment defense that Appellants asserted in the present case. Under the facts in *Raie*, this court declined to apply either the delayed discovery doctrine or fraudulent concealment, but acknowledged by the language in Footnote 1 of the opinion that the two are different defenses.

Moreover, in *Licul v. Volkswagen Group of America, Inc.*, 2013 WL 6328734 (S.D. Fla. 2013), the court distinguished the doctrines of delayed discovery and fraudulent concealment. The court listed the elements of fraudulent concealment as being: “(1) successful concealment of the cause of action, (2) fraudulent means to achieve that concealment, and (3) plaintiff exercised reasonable care and diligence in seeking to discover the facts that form the basis of his claim.” Importantly in a Summary Judgment context, the 11th Circuit has ruled that fraudulent concealment

is a question of fact left for the finder of fact. Allapattah Services, Incorporated v. Exxon Corporation, 333 F.3d 1248 at 1262-1263 (11th Cir. 2003).

In the instant case, the Appellee fraudulently concealed the fact that he made money from Toke Oil and Gas, S.A. during the 2009-2012 time period. An affidavit by Rustin Howard, Chairman of the Board of DeepGulf, filed in support of Appellants' position on the cross Motions for Summary Judgment presented the fact that it was always the Appellee's intent to find a way to leave DeepGulf, Inc. to form a new company to compete with DeepGulf using its technology or work for a competitor to bring projects to fruition not for the benefit of DeepGulf, Inc. [Doc. 140, ¶ 7-9].

Moreover, upon returning from East Timor, on February 2, 2008, at a DeepGulf, Inc. Board Meeting, Appellee gave information regarding the potential for pipeline operation in East Timor following his recent time spent researching the project. He informed the Board, and adamantly still maintained during litigation, it would not be possible to do business in East Timor as a US corporation. Based upon these representations, the Board discussed solutions including the creation of a DeepGulf, Inc. subsidiary company in East Timor. [Doc. 140, ¶ 14]. Subsequently, in East Timor, Appellee established Toke Oil and Gas, S.A. and made himself and two other companies an owner rather than DeepGulf, Inc. [Doc. 140, ¶ 15-16]. Appellee led the Board of DeepGulf, Inc. to believe that he established and was

holding Toke Oil and Gas, S.A. in his name for the benefit of DeepGulf, Inc., and that it would have been reckless to hold that interest in DeepGulf, Inc.'s name. [Doc. 140, ¶ 19]. While Appellee was in East Timor, Rustin Howard attempted to travel to East Timor; however, Appellee told Rustin Howard it was too dangerous for him to go to East Timor among other reasons. No other DeepGulf, Inc. employee or Director ever traveled to East Timor. [Doc. 140, ¶ 21].

Later, Appellee further informed Rustin Howard via email on November 27, 2012 that Toke paid DeepGulf for Defendant's services as Project Manager. [Doc. 145, ¶ 5 and Exhibit "A"]. However, Appellee testified when asked "what was the work that was done by DeepGulf to garner these payments?" he responded "None." When pressed with the question "They were just paid for no work at all?", he said "Yes." [Doc. 139-3, P. 14, Line 3 – 7].

Later, when asked how the payments that were made by Toke Oil and Gas, S.A. to DeepGulf were calculated, Appellee stated that DeepGulf, Inc. was a ten percent commission earned for "no particular reason." [Doc. 139-3, P. 14, Line 19 – P. 15, Line 10]. Appellee's testimony in 2019 evidences that although he represented to Rustin Howard on June 13, 2012 that Toke paid DeepGulf for his services as project manager, that in actuality, DeepGulf was paid for no particular reason. Appellee's testimony shows that Appellee was, unknown to DeepGulf at the time, acting as project manager directly for Toke Oil & Gas, S.A. [Doc. 139-3, P.

35, Line 16 – 21] and getting paid handsomely for it [Doc. 139-2, P. 95, Line 11–19].

Appellee's fraudulent concealment of information from DeepGulf, Inc. does not end there. On November 29, 2017, Appellee sent his friend, William Lott, Jr., an email which was submitted to the District Court in Appellants' Response to Motion for Summary Judgment [Doc. 144-2].¹ The email discusses payments that were made from Toke Oil and Gas, S.A. to various individuals and entities. Appellee is still concealing information from DeepGulf, Inc.'s Chairman of the Board, Rustin Howard. Appellee says "I just refuse to give Rus what he wants" and described the email as **"FOR YOUR EYES ONLY, PLEASE DO NOT FORWARD. THIS IS HOW SALARIES WERE PAID. I WANT RUS TO SWEAT FOR THIS INCONSEQUENTIAL BREAK-UP"** (emphasis supplied). Importantly, this email shows his refusal to provide information to Mr. Howard, just weeks before receiving the initial Civil Theft warning letters [Doc. 1, Exhibits B and C]. The Appellee did not want the Chairman of the Board of DeepGulf to be made aware of how monies were paid from the projects in East Timor. It is evident from the email that even the Appellee believed as of November 29, 2017 that DeepGulf's Chairman of the Board was not aware of the monies paid to him by Toke Oil and Gas, S.A. He wanted to keep it that way by fraudulently concealing that information from him.

¹ This email was received in the course of discovery during litigation and only after various Motions to Compel.

Appellants did not know until the discovery phase of the litigation in the District Court how payments made to Toke's directors and owners were broken down.

The evidence presented by the affidavit of DeepGulf's Chairman of the Board is sufficient to, at a minimum, creates an issue of material fact as to the issue of fraudulent concealment, which is grounds for this Court to reverse the Order granting Appellee's Motion for Summary Judgment as to Counts III through VI of Appellants' Complaint.

In another portion of its Order on Motions for Summary Judgment, the District Court states that "[t]he doctrine of fraudulent concealment is unavailable under Florida law[.]"). [Doc 150, P. 9]. The District Court cites the case of Pac. Harbor Cap., Inc. v. Barnett Bank, N.A., 2000 U.S. Dist. LEXIS 6518 at *26-27 (M.D. Fla. Mar. 31, 2000). However, the Pac. Harbor ruling was based upon the case of Fulton County v. Sullivan, 1997 WLF 589312 (Fla. Sept. 25, 1997), which was withdrawn and superseded for other reasons by the Florida Supreme Court.

The District Court failed to properly consider the 2003 case of Allapattah v. Exxon Corp, 333 F.3d 1248 (11th Cir. 2003), which found that the plaintiff's claims in that case were not barred by the statute of limitations when Exxon fraudulently concealed dealer agreements. In footnote 17 of that ruling, the court held that:

After reviewing the relevant law in each jurisdiction, the court determined that fraudulent concealment was not a defense to the statutes of limitations in Ohio and Florida. After the trial, however, the court noted that a recent Florida Supreme Court decision changed the

law in Florida pertaining to the delayed discovery doctrine. Based upon that change in the law, the court concluded that the Florida dealers' claims were not barred by the statute of limitations.

Although the 11th Circuit did not cite directly to the Florida Supreme Court case, a review of the District Court's prior ruling in Allapattah Services, Inc. v. Exxon Corp., 157 F.Supp.2d 1291 (S.D. Fla. 2001), shows that the trial court relied upon the Florida Supreme Court case of Hearndon v. Graham, 767 So.2d 1179 (Fla. 2000), which was decided subsequent to the Fulton County case which was the case cited in the Pac. Harbor case. In the Allapattah District Court opinion the court recognized that the plaintiff had proven the elements of fraudulent concealment and operated to delay the accrual of a cause of action. Id. at 1311.

The District Court in the present case and this Court on appeal must follow the prior precedent rule, which states that a panel cannot overrule a prior one's holding even in situations where it may be convinced that the prior panel was wrong. U.S. v. Chubbuck, 252 F.3d 1300, 1305 (11th Cir. 2001). Courts have further held that it would be illogical for a district court within the circuit's jurisdiction to disregard a prior circuit panel's decision when even a subsequent circuit panel cannot do so. Lane v. Medtronic, 2005 WL 8155524 (S.D. Fla. 2005). The prior precedent applicable to this case is found in Allapattah v. Exxon Corp., 333 F.3d 1248 (11th Cir. 2003) and the District Court and this court is bound to follow its ruling that fraudulent concealment may indeed operate to delay the accrual of a cause

of action. As fraudulent concealment is generally a question of fact, this issue must be remanded back to the trial court with instructions for it to determine at a trial of this matter whether or not Appellants can prove the elements supporting fraudulent concealment in this case.

III. The District Court Erred in Denying Appellants' Motion to Amend.

On November 6, 2019, the District Court denied Appellants' Motion to Amend. [Doc. 130]. A substantial reason articulated by the District Court for denying the Motion was that such an amendment would be futile, as the court suggested that such a claim would have been barred by the applicable Statute of Limitations [Doc. 130, P. 3]. However, for the same reasons articulated in Section II of the Argument section of this brief, supra, presuming the Appellee would have raised a statute of limitations defense to the new Count X, the Appellants could have properly presented an affirmative defense of "fraudulent concealment" to avoid such a defense.

In addition, the District Court stated that Appellants did not show good cause for the amendment. The initial deadline for amendments, which was never extended was November 30, 2018 [Doc. 30, P. 2]. In the long, tortured history of this case, Appellee frustrated Appellants' attempts to obtain full discovery. The Joint Motion to Extend Dates in Order entered April 4, 2019, which was filed on August 8, 2019, articulates the manner in which Appellee hindered discovery [Doc. 108]. On July

22, 2019, he produced 18,000 emails² subsequent to his first deposition and on August 6, 2019, he produced spreadsheets relevant to Appellants' claims [Doc. 108, P. 1]. Appellee was sanctioned for his activity. [Doc. 153]

In this case, Appellants' were as accommodating as possible to any request made by Appellee's counsel to amend their responsive pleadings. Appellee, while *pro se*, initially filed an Answer to the Complaint [Doc. 7]. When counsel appeared on behalf of Appellee in the District Court [Doc. 63], counsel for Appellants and Appellee stipulated to an order which allowed Appellee to present an Amended Answer to the Complaint [Doc. 68]. That Amended Answer and Affirmative Defenses was deficient and on August 29, 2019, Appellee was given "one opportunity to replead the counterclaims to correct these deficiencies" on "one opportunity to replead the affirmative defenses in a manner that provides fair notice as to the basis of each defense." [Doc. 112, P. 2-3]. Such Second Amended Answer and Counter Claim was filed on September 12, 2019 [Doc. 116].

Appellants requested one amendment, just over one month after Appellee's second amendment was filed, which second amendment fully expressed the affirmative defenses being presented by Appellee for the first time. Yet, Appellants were not provided even the "one opportunity" that was provided to Appellee.

² The November 29, 2017 email between Appellee and Bill Lott discussed supra was part of this production.

Appellants Amended Complaint did not rely upon a different core of operative facts than had already been presented in the initial Complaint, just a different theory of relief. As long as the amended complaint refers to the same transaction or occurrence that formed the basis for the original complaint and the defendant was put on notice of the claims by the first complaint, there will be no bar to amendment; even if new defendants and new theories of recovery will be allowed. Travelers Ins. Co. v. Brown, 338 F.2d 229, 234 (5th Cir. 1964); Williams v. U.S., 405 F.2d 234 (5th Cir. 1968). Granting Appellants' one Motion to Amend is consistent with the purposes of the Federal Rules of Civil Procedure: "the just, speedy, and inexpensive determination of every action and proceeding." Fed.R.Civ.P.1. As such, the District Court committed error in denying Appellants' Motion to Amend, particularly in light of the arguments presented herein that the claims submitted by Appellants were not futile in any way.

CONCLUSION

WHEREFORE, Appellants request that this Court enter an Order reversing the Order of Motions for Summary Judgment as to Counts II, III, IV, V, and VI, and Order reversing the Order Denying Appellant's Motion to Amend and remanding this matter for further proceedings and for such further relief as the Court deems appropriate.



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RULE 32(G) CERTIFICATE OF TYPE-VOLUME COMPLIANCE

I HEREBY CERTIFY that this Brief is produced in Times New Roman 14-point type and contains 4,937 words, exclusive of those items set forth in Fed.R.App.P. 32(f), in accordance with the type-volume limitations of Fed.R.App.P. 32(a)(5-7).

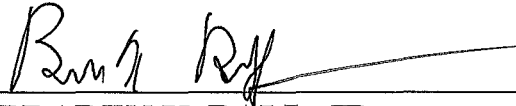


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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that I have on this 28th day of September, 2020, a copy of the foregoing has been furnished to the Defendant/Appellee, Marc M. Moszkowski, Chalet De Bulvedere, Le Crey 73350, Champagny-EN, Vanoise, FF (m.moszkowski@deepgulf.net) via the Court's E-filing system.

A handwritten signature in black ink, appearing to read "Braden K. Ball, Jr.", is written over a horizontal line.

BRADEN K. BALL, JR.